Apple

Siri-ously Personal AI Companions Are Coming: Our Thoughts on the Device and Potential Services Opportunity

Overweight

AAPL, AAPL US
Price (25 Feb 26):$274.23

IT Hardware/ Telecom & Networking Equipment

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Consumer technology is entering the early innings of a structural shift toward AI-native personal Companion devices, and Apple, based on several press reports, is working on several form factors for AI Companions, including smart glasses, wearable AI pins, and smart-home assistants. We view a potential foray into AI Companions to be important for Apple on both *defensive and offensive fronts*, to firstly defend its wide moat in Personal Computing devices, and secondly to position itself better in the new category of Personal devices - *AI Companions.* Apple's long-standing advantages including highly integrated product ecosystem and uncompromised focus on privacy should continue to be compelling attractions for consumers looking to leverage personal AI Companions, with Apple positioned to provide leverage of the existing installed base of devices to share compute beyond the wearables as well as seamless access to a wide breadth of services already being leveraged which will steadily incorporate incremental AI functionalities and integrate with the new Companion devices.

In our view, launch of personalized Siri to enable services to maintain conversational context on the AI Companions will play a major role in determining the likelihood of success for Apple in relation to planned AI Companions, including integration with applications relative to its multimodal inputs across voice, text and images. Additionally, we see integration of AI functionalities with context around the consumer from the installed base across its native apps, including email, notes, messages, contacts, safari etc., could play a primary role in the differentiation of the offerings to consumers relative to stand-alone companion devices from third-parties. We believe that launch of Personalized Siri is highly likely in 2026, particularly given recent partnership with Google to leverage the foundational Gemini models, and while AI Companion devices are likely to be highlighted in 2026, we expect a more material volume ramp starting in 2027.

Turning to volume and revenue expectations, we are forecasting Apple's AI Companions to ramp to 50 mn units across the range of AI companion devices and a $25 bn revenue opportunity by the end of the decade from the hardware product revenue opportunity alone, and adoption beyond the existing Apple installed base could present potential stand-alone services monetization opportunities as well. For reference, the $25 bn revenue opportunity is more than two-thirds of the current revenue profile of the Wearables segment, and aggregating the Product and Services (Apple Care) profit opportunity leads us to estimate about ~5% of EPS contribution by FY30.

Please see below for details relative to the different product categories.

See page 5 for analyst certification and important disclosures.

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- **Consumer technology companies, including Apple, are in a race to build personal AI Companions.** As LLMs and multimodal AI are showing continuous improvement, major technology companies like Apple, Meta, and emerging players like OpenAI, are racing to develop AI Companions, which are new hardware form factors purpose-built for AI consumption use cases like - real-time translation, audio capture and summarization of meetings, voice-controlled communication, and visual-intelligence based object recognition etc., all with personal and situational context, marking a big potential shift in personal computing. For Apple, developing an AI-native device represents both a defensive imperative (protecting its hardware ecosystem from potential disruption risk) and an offensive opportunity to extend its premium hardware franchise into a new product category.
- **That said, disruption risk to smartphones remains low; AI Companions will create and adjacent device opportunity tailored to address incremental AI use cases.** While over the years there has always been a concern about the next generation compute platform that will potentially displace smartphones as the preferred platform for consumers, we still believe the smartphone with its balance of compute power, battery life and multimodal inputs will likely remain the mainstay of AI Companion compute. That said, there is an opportunity with the increase in leverage of AI Companions by consumers to establish adjacent device categories for additional use cases beyond the ones that smartphones are already leveraged for, including potentially Smart Glasses, Wearable Pins and Smart Home devices which Apple is working on.
- **Apple's installed base of devices positions the company to lead in AI Companion devices through context and compute sharing**. In particular, we believe that the active base of Apple's devices including iPhones, Macs and iPads, positions the company at an advantage compared to relatively newer companies looking to build a position in the consumer AI device category, as Apple will be able to leverage personal context for the consumer across devices as well as share compute across devices to provide better performance.
- **Expect ramp in traction for Apple's AI Companions to track much faster than Apple Watch and achieve 50 mn units by end of decade.** In trying to draw parallels with already launched devices to the potential of AI Companions in the future, we believe the most appropriate comparison is to the Apple Watch through which Apple created a new category of wearable device which scaled to ~45 mn units from its launch in 2015 to 2022. Given the breadth of use cases to be addressed across the AI companion devices relative to Apple Watch, we expect AI Companion devices (*including Smart Glass, Wearable Pin and Smart Home devices*) to track to a faster adoption curve following the start of early shipments in 2026/27. **We estimate the combination of all AI Companions for Apple will achieve 50 mn units by the end of the decade, with Glasses likely to be the most popular given their already established presence as a wearable, followed by Wearable pins, and Smart Home devices; we are estimating 50% mix for glasses, 40% for pins, and the remaining 10% for Smart Home with tougher competitive dynamics.**

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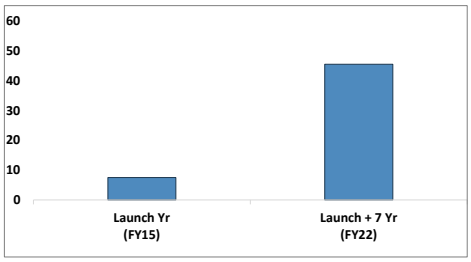
Figure 1: Apple Watch Shipments

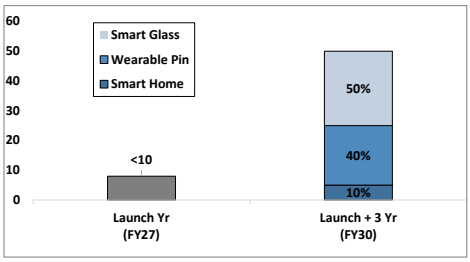
mn units



Source: IDC and J.P. Morgan estimates.

Figure 2: Adoption Forecast of AI Companions

mn units



Source: J.P. Morgan estimates.

- **Smart Glass is primed to be an Apple product.** Smart Glasses are already ramping to become a promising new form factor with industry reports highlighting ~15 mn unit shipments in 2025, with expectations of ramping closer to 60 mn by 2030 (~33% CAGR, see here). As of 2025, Meta is largest player in the market, with well over 60% market share, mostly driven by their "no-display" variants, while Meta Ray-Ban Display, with built-in display, is shipping in relatively small volumes. Apple is developing Smart Glasses, with "no-display" variant expected to launch in 2027, and more advanced Augmented Reality Smart Glasses with an integrated display anticipated in 2028 or later (see Bloomberg report here).
- **Smart Glasses estimated to be a $15 bn+ opportunity for Apple by end of decade.** We expect the "**no-display" variant to be priced between $500-600**, and **display variant to be priced between $900-1,000**, both reflecting a premium relative to current industry pricing and consistent with Apple's typical premium positioning strategy. Given the different price points as well as later launch of display variant, we expect shipment mix to be skewed towards non-display variant (20 mn out of 25 mn) in 2030, in aggregate translating to **$15 bn+ revenue opportunity**.
- **Apple's expected entry into Wearable AI Pin market could drive an inflection in the market; OpenAI could be the primary competitor.** As per news sources (see report here), Apple is developing a Wearable AI pin, equipped with two cameras, a speaker, three microphones, a physical button and wireless charging capabilities - expected to be launched in 2027. Consumer adoption for the first-generation AI pins launched by Humane remained unimpressive (fewer than 10,000 units). Apple's entry, alongside potential offerings from OpenAI, could help legitimize the category and drive meaningfully higher adoption with consumers treating the form factor as a standard offering across consumer AI companies. As per our J. P. Morgan analyst reports (see here) OpenAI's AI-enabled pin, which will be one of the primary competitors for Apple in this category, will be focused on interacting with the user through voice, touch, and sensing, and is expected to be introduced in 2H26.
- **AI Wearable Pins to ramp up to at least mid-single digit billion dollar opportunity by end of decade.** Based on our supply chain checks regarding component costs, we believe Apple Wearable Pin could cost ~$200 to produce, which at roughly 40% gross margins would translate to a **potential product ASP of $300-350**. Based on above estimates, we expect **20 mn units** at scale in 2030, which in combination with our ASP estimates translates into a revenue opportunity of roughly **$6 bn+ annually by 2030**. For comparison purposes, supply chain companies expect OpenAI's wearable pin to have a volume opportunity of 20-25 mn units near-term, implying reasonable conservatism in our forecasts.
- **Smart Home AI Assistants to represent low-single digit billion dollar opportunity by end of decade while facing significant competition.** Industry analysts forecast Voice

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AI devices in Smart Homes market to ramp from $18 bn in 2025 to $117 bn by 2030 at a CAGR of 45% (see here). Apple is developing smart home AI solutions -1) smart speaker with display, expected to be priced at $300-400 and launched in 2026, 2) a tabletop robot expected to be priced at $800-900 and launched in 2027 - both together positioned as the AI Companions for Homes (see press report here). However, we expect adoption of stationary home-based AI Companions to track slowest relative to other products highlighted earlier, **ramping to only 5 mn annual units** by end of decade, translating to annual **revenue opportunity of ~$3 bn, largely on account of the much tougher competitive dynamics in the smart home market with incumbent competitors like Amazon**.

- **Together, we expect AI companions to ramp to ~$25 bn revenue opportunity by end of the decade for Apple.** Aggregating the range of revenue opportunities across different AI Companion devices which Apple is expected to launch, we estimate the total revenue opportunity to track close to $25 bn by FY30, driven largely by the Smart Glasses at ~$16 bn, followed by Wearable Pins at ~$6 bn and Smart Home products at ~$3 bn.

Figure 3: Total Revenue Opportunity - AI Companions (FY30)

mn units, $ bn

	Units (mn)	ASP ($)	Revenue ($ bn)
Smart Glasses	25		$15.8
Without Display	*20*	*$550*	*$11.0*
With Display	*5*	*$950*	*$4.8*
Wearable Pin	20	$325	$6.5
Smart Home	5	$550	$2.8
Total AI Companion	**50**		**$25.0**

Source: J.P. Morgan estimates.

- **Potential direct AI Services monetization opportunity as well with success for AI Companions.** While App Store services revenues are expected to benefit from adoption of an increasing mix of AI-led applications within the installed base of applications that already drive the aggregate estimated $32 bn of App Store services revenue, we expect the benefits to materialize gradually over time. However, in a more direct opportunity for AI Services monetization, we envision Apple potentially charging non-iOS customers for the services associated with stand-alone AI Companions.
- **Apple Care opportunity on the incremental device sales imply considerable profit opportunity as well.** Underappreciated in the profit opportunity associated with sale of devices is the associated Apple Care attach, which we estimate at 50% would imply a revenue opportunity closer to $2.5 bn annually by the end of the decade, and a profit opportunity potentially close to $1.5 bn+ of recurring gross profit for the Services segment by end-of decade.

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Apple (AAPL, AAPL US) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 01, 1999. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
19-Apr-23	OW	166.47	190
01-Aug-23	OW	196.45	235
08-Sep-23	OW	177.56	230
02-Nov-23	OW	173.97	225
01-Feb-24	OW	184.40	215
11-Apr-24	OW	167.78	210
02-May-24	OW	169.30	225
18-Jun-24	OW	216.67	245
24-Jul-24	OW	225.01	265
21-Jan-25	OW	229.98	260
30-Jan-25	OW	239.36	270
14-Apr-25	OW	198.15	245
01-May-25	OW	212.50	240
26-Jun-25	OW	201.56	230
17-Jul-25	OW	210.16	250
31-Jul-25	OW	209.05	255
19-Sep-25	OW	237.88	280
27-Oct-25	OW	262.82	290
30-Oct-25	OW	269.70	305
26-Jan-26	OW	248.04	315
29-Jan-26	OW	256.44	325

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